TEACHER GUIDE DRAFT

Junior Cycle Business Studies (NCCA)

Economic indicators

Strand 3: Our economy
3.9 Economic indicators; 3.3



A revision lesson. Pupils run a car dealership in firms of four and revise economic indicators on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Rates and car sales

Round 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

What is the most likely effect on your sales?

- **A** No change: buyers need cars
- **B** Sales rise as prices fall
- **C** Sales rise as savers earn more
- **D** Sales fall as loans cost more

ANSWER

✓ Sales fall as loans cost more

Why: Higher interest makes loans dearer, so fewer people buy on credit.

2 Unemployment rises

Round 1

Unemployment in your area rises sharply.

Which two effects on your firm are most likely?

- **A** Fewer buyers for new cars
- **B** Higher wages to keep staff
- **C** More buyers want premium models
- **D** More buyers want cheaper cars
- **E** Banks lend more freely

ANSWER

✓ Fewer buyers for new cars
✓ More buyers want cheaper cars

Why: Less income means fewer big purchases, and buyers trade down.

3 Rate rise effects

Round 2

The European Central Bank raises interest rates.

Put the effects in order, first to last?

- **A** Fewer people buy on credit
- **B** Your sales fall
- **C** You order fewer cars
- **D** Car loans cost more each month

ANSWER

1. Car loans cost more each month
2. Fewer people buy on credit
3. Your sales fall
4. You order fewer cars

Why: Dearer loans, fewer buyers, lower sales, so you buy less stock.

Topic tasks

4 Loan interest rise

Round 2

Interest rates rise. Your stock loan's rate follows.

Rise in the interest a year?

Stock loan	**€20,000**
Interest a year, before	**7%**
Interest a year, now	**10%**

ANSWER

€600

€20,000 × (10% − 7%) = €600

Why: Higher rates raise the cost of your own borrowing too.

5 Euro falls: effect

Round 3

The euro falls sharply against the dollar. You import your cars from the United States.

What should you expect, and why?

A Lower costs, higher profit per car

B Higher costs, lower profit per car

ANSWER

✔ Higher costs, lower profit per car

Why: A weaker euro buys fewer dollars, so imports cost more in euros.

6 Staff real income

Round 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

What happens to their real income?

A It rises by about 11%

B It falls by about 5%

C It rises by about 3%

D It stays the same

ANSWER

✔ It falls by about 5%

Why: Pay rises more slowly than prices, so it buys about 5% less.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Business and the economy”: the 6 come from these 10 questions.

1 What is inflation?
✔ **A general rise in prices over time**

2 The ECB raises rates. A dealer’s €200,000 loan moves from 4% to 5.5% a year. How much more interest is paid in a year?
✔ **€3,000**

3 Interest rates rise. Why might fewer customers buy cars on finance?
✔ **Monthly repayments get bigger**

4 Unemployment in the area rises sharply. What is the likely effect on a used-car dealer?
✔ **Fewer customers can afford a car**

5 Inflation is 5%. A service that cost €300 last year rises in line with inflation. What is the new price?
✔ **€315**

6 You import a car priced at 20,000 pounds sterling. €1 buys 0.80 pounds. What is the cost in euro?
✔ **€25,000**

7 The euro strengthens against sterling. For an Irish dealer importing cars from Britain, what happens?
✔ **Imported cars become cheaper in euro**

8 Which of these is an economic indicator?
✔ **The rate of inflation**

9 The Government gives a grant to a dealer installing EV chargers. What is a grant?
✔ **Money that does not have to be repaid**

10 The Government raises the VRT (vehicle registration tax) on large petrol cars. What should a dealer selling them do?
✔ **Shift stock towards smaller or electric models**